

TENTATIVE RULINGS
Judge SHEILA RECIO, Dept. W8

Law & Motion is heard on Fridays at 9:30 a.m., *unless specially set.*

CIVIL COURT REPORTERS: Department W8 does not provide the services of an official court reporter for law and motion hearings. Please see the court's website for rules and procedures for court reporters obtained by the parties.

POSTING TENTATIVES: Department W8 endeavors to post tentative rulings for law and motion hearings by 5 p.m. on Thursdays. **Do NOT call the Department for a tentative ruling if none is posted.** The court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been prepared.

SUBMITTING ON THE TENTATIVE: If ALL sides intend to submit on the tentative ruling, please advise the Department's clerk or courtroom attendant by calling (657) 622-5908. If so advised, the tentative ruling shall become the court's final ruling and the prevailing party shall file and serve a Notice of Ruling and if appropriate, prepare a Proposed Order pursuant to Rule 3.1312 of the California Rules of Court. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

NO APPEARANCES: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court will determine if the matter is taken off calendar, the tentative ruling becomes the final ruling, or a different order is issued at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

REMOTE APPEARANCES: Department W8 conducts non-evidentiary proceedings, including law and motion via Zoom through the court's online check-in process available through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings>. All counsel and self-represented parties appearing for such hearings **must check-in at least 5 minutes before** the 9:30 a.m. hearing on Friday.

The court encourages the parties and attorneys to take advantage of remote appearances for non-evidentiary hearings to reduce travel time, parking costs, and potential hearing delays. However, keep in mind that potential technological or audibility issues could arise when using remote technology, which may require a delay of or halt the proceedings. To help

avoid such, please log in and test your equipment in advance of the hearing. Also, if technological or audibility issues arise during the proceeding, please call **(657) 622-5908**.

All remote video participants shall comply with the court's "**Guidelines for Remote appearances**", found at <https://www.occourts.org/system/files/guidelinesforremoteproceedings.pdf>.

IN-PERSON: Parties preferring to appear in-person for a law and motion hearing may do so, consistent with Section 367.75 of the Code of Civil Procedure and Orange County Local Rule 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

July 24, 2026

#	Case Name	
3	APEX Events, LLC vs. Advocate Inc.	<u>Motion for Extension of Time to Answer</u> OFF-CALENDAR as MOOT. Defendants ADVOCATE INC. d.b.a. NAVA BENEFITS and ED LIGONDE filed a motion on 5/6/26, requesting an extension of time to file an answer. Defendants thereafter filed their answer on 6/17/26. As such, the motion is MOOT.
4	Djavid vs. Vidal	<u>Motion for Leave (re First Amended Complaint)</u> The court GRANTS Plaintiff NONA DJAVID's unopposed motion for leave to file a proposed First Amended Complaint ("FAC"). The Proposed FAC adds general negligence and negligent misrepresentation claims, reflects the dismissal of Defendants ELITE GROUP PROPERTY INSPECTION SERVICE, INC and BRIAN HALL, and adds specified damages amounts.

		In light of the ruling, the court also VACATES the defaults entered against Defendants COLIBRI FAMILY PROPERTIES LLC and JUAN JOSE GONZALEZ aka JAY GONZALEZ (ROAs 46 and 47). Plaintiff SHALL separately file and serve the Proposed FAC (attached as Exhibit 3 to the Khiterer Declaration) within five court days. Plaintiff to give notice.
5	Elias vs. Elias	<u>Motion to Set Aside Default</u> The court DENIES Defendant JAMES VOLPE's Motion to Set Aside Default. Defendant Volpe moves to set aside the default entered on 3/30/23 (ROA 11) pursuant the court's inherent powers under Section 128 of the Code of Civil Procedure. Defendant Volpe fails to articulate how it would be appropriate or proper for this court to grant relief under its inherent powers from a default that was entered more than three years ago. Notably, this court denied Defendant Volpe's prior attempt to set aside the default, finding that Defendant lacked diligence in moving to set aside default, among other things. (ROA 232.) Attempts to piggyback on meritorious arguments made by another defendant for whom Plaintiff voluntarily chose not to pursue further is not sufficient ground for the relief requested. The court notes, however, that default judgment may be inappropriate against a defaulting defendant where several defendants are sued on a joint liability basis and one of them answers asserting defenses which would exonerate the defaulting defendant from such liability. (See, e.g., <i>Adams Mfg. & Engineering Co. v. Coast Centerless Grinding Co.</i> (1960) 184 Cal.App.2d 649, 655 ["The rule is definitely established that where there are two or more defendants and the liability of one is dependent upon that of the other the default of one of them does not preclude his having the benefit of his

		codefendants establishing, after a contested hearing, the nonexistence of the controlling fact; in such case the defaulting defendant is entitled to have judgment in his favor along with the successful contesting defendant.”.] In the court’s 5/5/26 minute order, the court stated it would take Plaintiff’s DAVID ELIAS’s request for a default judgment under submission once a ruling is made on Defendant JAMES VOLPE’s motion to set aside default. (See 5/5/26 Minute Order.) As such, Plaintiff’s request for a default judgment is now deemed under submission. Plaintiff to give notice.
7	Wang vs. Bui	<u>Motion to Tax Costs</u> The matter was continued from 7/10/26 to give Defendants an opportunity to file a supplemental declaration and allowing Plaintiffs to respond as well. The court has considered the Sur-Reply filed by Defendants on 7/16/26 (ROA 563) and Plaintiff’s Sur Sur-Reply filed on 7/21/26 (ROA 567). The court DENIES, in its entirety, Plaintiffs JIN WANG, M.D. and CHIRAG VAIDYA, M.D.’s motion to tax costs. <i>Re Deposition Costs</i> First, Plaintiffs argues the court should tax the charge of \$1,351.25 for a claimed deposition no-show on 4/14/22. The last page of Defendants’ Exhibit List, which was belatedly filed on 7/1/26, shows a First Legal Invoice for charges related to a certificate of non-appearance, with the charges totaling \$1,351.25. In support of Plaintiffs’ Reply, counsel for Plaintiffs declares, “According to my email records, I noted that, on April 14, 2022, at 9:29 am, I sent an email to Mr. Bui to the effect that no link had been received from his office in order to access the remote deposition that had been set for April 14, 2022. I also noted that Dr. Vaidya had cleared his calendar for the deposition.

I also observed that the deposition notice required at least 5 days to provide the link, and because the link was not actually sent, Dr. Vaidya was returning to his clinic.” (Boros Decl., ¶ 2). “The ‘no-show’ of April 14, 2022 was not due to any act, oversight, or omission on my part.” (Boros Decl., ¶ 4.)

In support of Defendants’ Sur-Reply, Mr. Bui declares that on 4/4/22, at 5:50 p.m., Mr. Boros was emailed the remote Zoom link for the deposition at dboros@gmail.com. (Bui Decl., 5:4-6.)

Mr. Boros points out in Plaintiffs’ response to the Sur-Reply that his email address is dboros87@gmail.com, which is, in fact, the email address on Defendants’ proof of service to Plaintiffs. Accordingly, the link appears to have been sent to the wrong email prior to the deposition.

Defendants however also show that Plaintiffs were aware of the deposition date, and that on 4/8/22, six days prior to the deposition, Mr. Boros served Defendants’ counsel’s office with an "Objection to Deposition Notice of Chirag Vaidya, M.D.", raising specific objections to the phrasing of the requests for documents contained within the notice. (f Bui Decl., 5:7-9.)

Mr. Bui declares that on 4/14/22, the morning of the 10:00 am deposition, he emailed Mr. Boros at 9:05 a.m. to inquire why no documents had been uploaded. At 9:29 a.m., Mr. Boros replied to his inquiry stating he had not received the link, that it was "Too late to supply it now," and that his client was returning to his clinic. (Bui Decl., 7:12-15). At 9:31 a.m., Mr. Bui’s office the original First Legal email containing the Zoom link to Mr. Boros. (Decl. of Bui, 5:16-17). Defendants also attach this email exchange in support of their Sur-Reply.

Because Mr. Boros was aware of the 4/14/22 deposition date and had the link to the deposition prior to the deposition starting, the court will allow these costs.

Filing Fees for Separate Case

		Plaintiffs also argue that Defendants included \$1,576.79 worth of charges for filings in the San Bernadino County Superior Court. In their Sur-Reply, Defendants clarified that the \$1,656.55 requested on Line 14 of the Memorandum of Costs represents only the electronic filing fees incurred in the Orange County action. Defendants set forth that the specific invoices related to this Orange County matter are located on pages 1, 2, 3, 4, 6, 7, 9, 11, 12, 13, 14, 16, 17, 18, 19, 20, 21, 22, 24, 25, 26, 27, 40, 41, 42, 43, 44, 45, 46, 48, 49, 50, 51, and 52 of Exhibit B. The invoices were provided to defense counsel in a single PDF and included the San Bernadino case which have overlapping parties. Accordingly, the court will allow these filing costs. In sum, the motion is DENIED in its entirety. Defendants to give notice.
8	BRE-FMCA, LLC vs. Tealeaf Corporation	<u>Motions to Compel Further Responses re</u> 1. <u>Requests for Admissions</u> (RFAs) 2. <u>Special Interrogatories</u> 3. <u>Form Interrogatories</u> 4. <u>Production of Documents</u> (RFPs) The court DENIES Plaintiff BRE-FMCA, LLC's motions to compel further responses from Defendant STEVEN MA to (1) RFAs (Set One), (2) Special Interrogatories (Set One), (3) Form Interrogatories (Set One), and (4) RFPs (Set One). <u>As to the RFAs (Set One)</u>, Plaintiff seeks further responses to Nos. 10, 14, 16, and 20 on the grounds that the current responses are "impermissibly vague, fail to clearly delineate what is admitted from what is denied, and are non-responsive and evasive to the substance of the requests." (Not. Of Mot. [ROA 93], at p. 2, lines 10-14.) <u>As to the Special Interrogatories (Set One)</u>, Plaintiff seeks further responses to Nos. 1-21, 24-26 and 28-31 on the grounds that the current responses are "evasive and

incomplete.” (See Not. Of Mot. [ROA 101], at p. 2, lines 10-12.)

As to the Form Interrogatories (Set One), Plaintiff seeks further responses as to Nos. 2.7, 4.1, 9.1, 9.2, 12.1, 15.1, 17.1, 50.1, 50.2, 50.3, 50.4, 50.5, and 50.6 on the grounds that the current responses are “incomplete, conclusory, boilerplate, internally inconsistent, and fail to demonstrate a reasonable and good faith effort to obtain the requested information.” (See Not. Of Mot. [ROA 97], at p. 2, lines 10-14.)

As to the RFPs (Set One), Plaintiff requests further responses as to Nos. 1-22 on the grounds that the current responses are “improper, containing impermissible conditional compliance language, non-compliant inability statements, waived objections due to failure to serve timely initial responses, and promises of future production without confirmation that production is complete.” (Not. Of Mot. [ROA 86], at p. 2, lines 11-16.)

As for each motion, Plaintiff also requests monetary sanctions.

The discovery statutes provide in relevant part, “Unless notice of th[e] motion [to compel further responses] is given within 45 days of the service of the verified response, or any supplemental verified response, . . . the propounding party waives any right to compel a further response”. (Code Civ. Proc., §§ 2030.300(c), 2031.310(c), 2033.290(c).) The 45-day deadline is mandatory and jurisdictional, such that the court has no authority to grant a belatedly noticed motion. (See *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410; *Vidal Sassoon, Inc. v. Superior Court* (1983) 147 Cal.App.3d 681, 685.)

According to the moving papers, defendant served verified responses to the form interrogatories and supplemental responses to the other discovery requests on 3/18/26. (Kim Decl., ¶ 12, Exhs. I-M.)

The motions were however not properly served on Defendant. Service was by electronic means and self-represented parties such as Defendant Ma must be served

		by non-electronic methods unless they affirmatively consent to electronic service, by: (1) serving a notice on all parties and filing the notice with the court, or (2) manifesting affirmative consent through electronic means with the court or the court’s electronic filing service provider, and concurrently providing the party’s electronic address with that consent for the purpose of receiving electronic service. (Code Civ. Proc., § 1010.6(c)(3); Cal. Rules Ct., rule 2.251(b)(1)(B).) The court record does not contain any notice filed by Defendant consenting to electronic service. Also, the Proof of Service filed on 5/12/26 (ROA 123) does not show notice of the moving papers and such notice is untimely under the 45-day rule. In sum, it appears Plaintiff did not provide proper and timely notice for the motions before the expiration of the 45-day rule. In sum, the motions are DENIED. Moving party to give notice.
9	Grossman vs. 1031 Crowdfunding, LLC	<u>Demurrer</u> OFF-CALENDAR as MOOT. Section 472 of the Code of Civil Procedure grants a plaintiff the right to file an amended complaint in response to a demurrer or motion to strike directed at the original complaint, if filed and served by the date for filing an opposition brief. Here, the filing of the First Amended Complaint (FAC) on 7/13/26 renders the demurrer moot since the original Complaint has been superseded and the FAC is now the operative pleading. (See, e.g., <i>State Comp. Ins. Fund v. Superior Court</i> (2010) 184 Cal.App.4th 1124, 1131 [“Because there is but one complaint in a civil action [citation], the filing of an amended complaint moots a motion directed to a prior complaint.”]; <i>JKC3H8 v. Colton</i> (2013) 221 Cal.App.4th 468, 477 [“the filing of an amended

		complaint renders moot a demurrer to the original complaint”].)
10	Gordon vs. Gordon	<u>Demurrer</u> (Case Management Conference) <i>1. Demurrer</i> The court OVERRULES in part, and SUSTAINS in part, Defendant TIMOTHY JAMES GORDON’s demurrer to Plaintiff NANCY GORDON’s Complaint. Specifically, the demurrer is OVERRULED as to the 1st and 3rd causes of action and SUSTAINED as to the 2nd and 4th causes of action. Plaintiff is granted 20 days leave to amend as to the 2nd and 4th causes of action. The Complaint contains the following causes of action, each asserted against the only named defendant, Timothy James Gordon: 1. Elder abuse 2. Constructive fraud – Civ. Code, § 1573 3. Fraud 4. Quiet title <i>1st C/A (elder abuse)</i> Defendant first argues that there was no custodial or caretaking relationship between Defendant and Plaintiff for the purposes of the Act, and that Plaintiff has not alleged any egregious acts of abuse or neglect by Defendant. On demurrer, the court reads the pleading in a light favoring the responding party. Here, the Complaint alleges that Defendant represented that if she moved to Defendant’s home, he and his family would take care of Plaintiff. (Compl., ¶ 53.) Such is sufficient to overcome the demurrer.

Further, not all instances of elder abuse require a custodial relationship. (See *Darrin*, 32 Cal.App.5th at 456.) Elder abuse includes physical abuse, neglect, abandonment, isolation, abduction, or other treatment with resulting physical harm or pain or mental suffering; the deprivation by a care custodian of goods or services that are necessary to avoid physical harm or mental suffering; or financial abuse, as defined in Section 15610.30. (Welf. & Inst. Code § 15610.07(a).)

Here, Plaintiff alleges financial abuse, and as well as abuse under Welf. & Inst. Code § 15610.07, subd. (a)(1),

With regards to egregious conduct, the Complaint alleges that Defendant caused Plaintiff harm by falsely promising that he would build her a casita on his property and take care of her, which caused her to move to his home and suffer a financial emergency. Also, according to the Complaint: Plaintiff spent her money from her savings account to stay in an RV, where she suffered extreme heat and breathing issues. (Compl., ¶ 57.) Defendant restricted Plaintiff's access to his house, placing a padlock on the property entrance gate, and disregarded her health needs. (Compl., ¶¶ 57, 58.) Plaintiff was diagnosed with PTSD as a result of Defendant's conduct. (Compl., ¶ 60.)

Defendant also argues that the first cause of action is barred by the four-year statute of limitations pursuant to Section 15657.7 of the Welfare and Institutions Code. More specifically, Defendant argues that the cause of action is time barred because some of the acts alleged in the Complaint occurred more than four years prior to the filing of the Complaint.

Section 15657.7 provides, "An action for damages pursuant to Sections 15657.5 and 15657.6 for financial abuse of an elder or dependent adult, as defined in Section 15610.30, shall be commenced within four years after the plaintiff discovers or, through the exercise of reasonable diligence, should have discovered, the facts constituting the financial abuse."

A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. (*Boy Scouts of America Nat. Foundation v. Superior Court* (2012) 206 Cal.App.4th 428, 438.) “In order for the bar to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint.” (Id. at 438-439.)

“Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her.” (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1110).

Here, Plaintiff’s claim does not appear to be time-barred on the face of the Complaint. Defendant argues that certain instances of conduct alleged in the Complaint, such as opening a credit card in Plaintiff’s name in 2005, and again in 2019 (Compl., ¶ 40) are time-barred. But regardless of when these acts were discovered, there are other instances of conduct that occurred within the last few years. For example, Plaintiff alleges that Defendant took out a secured loan of \$51,567 under Plaintiff’s name in January 2024 without the Plaintiff’s knowledge and/or consent. (Compl., ¶ 40.) Plaintiff also alleges that in 2025, she moved to Defendant’s home on the false promise that Defendant would build a “casita” on his property for Defendant, and under the promise that he would take care of Plaintiff who had glaucoma. (Compl., ¶¶ 53, 54.) Plaintiff’s allegations of neglect and abandonment and his failure to take care of her occurred in 2025.

The first cause of action does not appear to be time-barred from the face of the Complaint.

In sum, the allegations in the first cause of action are sufficient at the pleading stage.

2nd C/A (constructive fraud)

Among other things, Defendant argues that the second cause of action for constructive fraud fails because the Complaint does not allege such with the required

particularity, including as to the required element of a fiduciary relationship.

Defendant appears to be correct. The Complaint does not appear to allege sufficient facts to show a fiduciary duty.

“The allegation of a fiduciary relationship must be supported by either a contract, or a relationship that imposes it as a matter of law.” (*Berryman v. Merit Property Management, Inc.* (2007) 152 Cal.App.4th 1544, 1558).

“The mere allegation that [Defendant] assumed fiduciary duties to [Plaintiff] is a legal conclusion, not a well-pled fact.” (Id.)

“Fiduciary duties are imposed by law in certain technical, legal relationships such as those between partners or joint venturers, husbands and wives, guardians and wards, trustees and beneficiaries, principals and agents, and attorneys and clients.” (*GAB Bus. Servs., Inc. v. Lindsey & Newsom Claim Servs., Inc.* (2000) 83 Cal.App.4th 409, 416.)

Plaintiff argues in her Opposition that paragraphs 63 and 64 sets forth the elements for constructive fraud, including a breach of the Defendant’s fiduciary duty to Plaintiff. However, paragraph 63 of the Complaint states: “These actions by the Defendant have caused Plaintiff to suffer and incur financial loss and hardship and inflicted upon her including severe mental suffering within the meaning of Welfare and Institutions Code § 15610.53, pursuant to which the aforementioned actions and conduct of Defendant amount to abuse of an elder pursuant to Welfare and Institutions Code § 15610.07.” (Compl., ¶ 63.) Paragraph 64 states: “As shown above, Defendant engaged in a scheme to take advantage of the Plaintiff, wrongfully isolated and improperly manipulated Plaintiff in carrying out the fraudulent financial actions as noted above amounted to a breach of the special relationship that existed and was a breach of Defendant’s fiduciary duty to Plaintiff, which resulted in substantial financial loss to Plaintiff in a sum not less than \$100,000, as well as great pain, humiliation, mental anguish, severe emotional distress and physical distress and other injuries in mind and body to Plaintiff, causing him damage in a sum according to proof at the time of trial.” (Compl., ¶ 64). While Plaintiff

references a “special relationship”, no fiduciary duty is alleged.

Plaintiff does not explain in her Opposition how the facts as alleged gives rise to a fiduciary duty.

Accordingly, the court SUSTAINS the demurrer as to the second cause of action, with leave to amend.

3rd C/A (fraud)

Defendant argues that Plaintiff fails to plead the elements of fraud with the requisite specificity and also that this cause of action is time-barred.

With regards to the requisite specificity, the Complaint alleges that Plaintiff’s fiancé and Defendant entered into a contract on 2/3/21 whereby Plaintiff’s fiancé advanced Defendant \$100,000 to build a casita on Defendant’s property with the understanding that Plaintiff and her fiancé would move in. As Defendant points out however, the money was lent by the fiancé, who is not a party in this action.

With regards to statements made to Plaintiff, the Complaint alleges that on 4/28/22 and 5/7/22, Defendant emailed Plaintiff detailed blueprints to confirm that the \$100,000 given to him was for the construction of a guest house on his property where Plaintiff would live. (Compl., ¶ 13.) This allegation sufficiently alleges how, when, where, to whom, and by what means the representations were tendered. (*Lazar*, 12 Cal.4th at 645 [re the requirements for specifically pleading how, when, where, to whom and by what means the misrepresentations occurred].)

Defendant also argues that Plaintiff failed to plead reliance/damages because she did not lend him the \$100,000, and despite the allegation that he tried to “force the sale of his elder mother’s property”, Plaintiff never actually sold her home. As noted in her Opposition papers, the Complaint alleges that Plaintiff was forced to purchase an RV (which was parked on the Defendant’s property) where Defendant became increasingly verbally abusive, neglectful, and emotionally harmful to the Plaintiff. (See,

e.g., Compl., ¶¶ 56-58.) The Complaint further alleges that Plaintiff moved into Defendant's property after he represented that he could take care of her and that she would have a casita to live in, but after moving into his property, ultimately faced an immediate emergency of finding a place to live and "dipped into her life savings to purchase an RV and parked it on her Defendant's property, where Plaintiff then lived for approximately three months." (Compl., ¶ 18.) The court finds that the Complaint's allegations sufficiently establish intent, reliance and damages to overcome the demurrer at the pleading stage. Plaintiff has adequately plead fraud to overcome the demurrer.

With regards to the statute of limitations, an action for fraud must be commenced within three years after the plaintiff discovered or, through the exercise of reasonable diligence, should have discovered, the facts constituting the fraud. (*Kline v. Turner* (2001) 87 Cal.App.4th 1369, 1373; Code Civ. Proc., § 338(d).)

Defendant argues that this claim is time-barred because the alleged instances of the promise made in 2021, as well as some of the acts of opening credit cards/loans in Plaintiff's name, occurred more than four years prior to the commencement of this action.

The representation to Plaintiff that he could take care of Plaintiff if she moved to his home occurred "in late 2024 / early 2025." (Compl., ¶ 15.) Plaintiff also alleges that she did not discover the fraud until 2025. (See, e.g., Compl., ¶¶ 6, 29.)

The court finds that Plaintiff's allegations regarding discovery are sufficient at the pleading stage, and that the claim does not appear to be time-barred on the face of the Complaint.

Accordingly, the demurrer is OVERRULED as to the third case of action.

4th C/A (quiet title)

		A claim for quiet title must be verified and include certain information, including a legal description if the property is real property. (Code Civ. Proc. § 761.020.) The complaint shall be verified and shall include all of the following: Here, the Complaint is unverified and does not contain a legal description. Accordingly, the demurrer is SUSTAINED as to the fourth cause of action. Plaintiff is GRANTED 20 DAYS LEAVE TO AMEND to correct the noted deficiencies. Defendant to give notice. 2. <u>CMC</u> The action is not at-issue and in light of the ruling on demurrer, the court CONTINUES the Case Management Conference to November 16, 2026 at 10:00 am in Dept. W8. All appearing parties SHALL file and serve a timely case management statement at least 15 calendar days prior to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369. Plaintiff to give notice.
12	Kim vs. Jetema USA Inc.	<u>Demurrer (re First Amended Cross-Complaint) Anti SLAPP Motion</u> 1. <u>Demurrer</u> The court SUSTAINS Plaintiff and Cross-Defendant SAE RO MI KIM's ("Kim") general demurrer to the entire First Amended Cross-Complaint (FAXC) filed by JETEMA USA INC ("Jetema") <i>without leave to amend.</i>

The FAXC asserts the following causes of action: (1) fraudulent misrepresentation and (2) negligent misrepresentation.

Economic Loss Rule

It appears that the first and second causes of action for fraudulent and negligent misrepresentation attempt to convert a breach of contract claim into a tort claim. Jetema alleges that the parties agreed that Plaintiff Kim would work no more than 15 hours per week as part of their employment agreement, but that Kim misrepresented that agreement by producing a spreadsheet that reflected actual hours in March 2025 now alleging that Kim worked over 15 hours per week in Kim’s complaint. (See e.g., FAXC, ¶ 18.) Even taking these allegations as true, at most the allegations allege a mere breach of contract claim and does not give rise to fraud.

“In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922.) In other words, “[t]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.” (Rest., § 3.)” (*Sheen*, 12 Cal.5th at 923.) “Quite simply, the economic loss rule ‘prevent[s] the law of contract and the law of tort from dissolving one into the other.’” (*Robinson Helicopter, Inc. v. Dana Corp* (2004) 34 Cal.4th 979, 988).

“Whereas contract actions are created to enforce the intentions of the parties to the agreement, tort law is primarily designed to vindicate ‘social policy.’” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 19). “As a result of this distinction between contract and tort claims, parties injured solely by a contractual breach have a narrower set of remedies compared to those available to litigants who suffered tortious injury.” (*Id.*) “The economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.” (*Id.* at 20.)

“Under the economic loss rule, tort recovery for breach of a contract duty is generally barred unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (*Id.* at 20–21.)

Here, the FAXC fails to allege that Kim violated a duty that is independent of the duties set forth in the contract between the parties. Further, the FAXC fails to allege that Kim caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed. The only damages alleged are attorneys’ fees that Jetema incurred to review/draft the employment agreements with Kim. As such, possible immigration violations (i.e., the source of Jetema’s alleged damages) were foreseen by the parties at the time of the contract. Further, Jetema only alleges economic losses and does not allege any loss to Jetema’s person or property. Jetema’s alleged damages of \$2,000 to \$2,400 in outside counsel fees to review the employment agreement and immigration compliance appear tenuous, at best, and tethered to foreseeable consequences of the parties’ agreement.

Finally, the only allegation of any fraudulent intention came in March 2025, when Kim already retained counsel and provided Jetema with a spreadsheet of hours and the allegations that Kim made in Kim’s complaint—two years after the parties’ employment agreement. (FAXC, ¶ 18.) There are insufficient specific allegations that, at the time of the employment agreement in 2023, Kim had fraudulent intent.

Accordingly, the first two causes of action are anchored on mere breaches of contract and cannot, as alleged, be transmuted to tortious injury. Tort recovery for a mere breach of contract duty is generally barred by the economic loss rule. Jetema has failed to allege harm above and beyond a broken contractual promise.

For these reasons, the demurrer to the first and second causes of action is SUSTAINED.

“It is an abuse of the trial court's discretion to sustain a demurrer without leave to amend if there is a reasonable possibility the plaintiff can amend the complaint to allege any cause of action.” (*Smith v. State Farm Mutual Automobile Ins. Co.* (2001) 93 Cal.App.4th 700, 711.)

“Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.)

It is the plaintiff's “burden to establish how the complaint can be amended to state a valid cause of action.” (*Sanowicz v. Bacal* (2015) 234 Cal.App.4th 1027, 1044.) In order to meet this burden, a plaintiff may submit a proposed amended complaint or enumerate facts and demonstrate how those facts establish a cause of action. (See *Cantu v. Resolution Trust Corp.* (1992) 4 Cal.App.4th 857, 890.)

The trial court properly sustains a demurrer without leave to amend where plaintiff fails to meet its burden. (*Jensen v. Home Depot* (2018) 24 Cal.App.5th 92, 97.)

“[N]otwithstanding the liberal policy favoring amendment of complaints, upon sustaining a demurrer to a first amended complaint, the court may deny leave to amend when the plaintiff fails to demonstrate the possibility of amendments curing the first amended complaint's defects.” (*Hedwall v. PCMV, LLC* (2018) 22 Cal.App.5th 564, 579.)

Here, Jetema does not provide any explanation as to how it would amend to state viable claims against Kim. The court has already provided Jetema an opportunity to cure defects in Jetema's cross-complaint. The court's prior ruling provided specific detail and legal authority as to the deficiencies of Jetema's alleged claims against Kim. The crux of Jetema's claims revolves around the fact that Kim worked more hours than agreed to, which was not a problem for Jetema, until Kim, with prior counsel, presented an excel worksheet, seeking compensation for

		actual hours worked. The only source of damages that Jetema alleges are related to attorney’s fees to review an employment agreement and to ensure immigration compliance. To the extent those damages are recoverable (and Jetema provides no allegations to suggest that the American Rule does not apply here), at most, those damages are foreseeable contract damages, but not tort damages that arise from independent duties or circumstances. Jetema’s attempt to cure these defaults by the first amended complaint merely repackages the same underlying theory. The court finds that granting further leave to amend would be futile. The demurrer to the first amended cross-complaint is, therefore, SUSTAINED without leave to amend. Moving Cross-Defendant Kim to give notice. 2. Anti-SLAPP Motion Given the above ruling, Cross-Defendant Kim’s anti-SLAPP motion is DENIED without prejudice as MOOT. The court declines to rule on Cross-Defendant Kim’s evidentiary objections as unnecessary to the court’s ruling. Moving Cross-Defendant Kim to give notice.
13	National Funding, Inc. vs. Rise Ocean Chef Lee Inc.	<u>Motion for Summary Judgment/Adjudication</u> The court GRANTS Plaintiff NATIONAL FUNDING, INC.’s (“Plaintiff”) motion for summary judgment of Plaintiff’s Complaint against Defendant XIAODONG ZHU (“Zhu”). Zhu’s Evidentiary Objections: OVERRULED The Complaint contains two causes of action. Only the second cause of action for breach of guaranty is asserted against Zhu.

“[T]he elements of a cause of action for breach of contract are: (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

Plaintiff proffers evidence showing the existence of the Loan Agreement between Plaintiff and Defendant RISE OCEAN CHEF LEE INC. dba CHEF LEE’S PEKING RESTAURANT (“Rise Ocean”), Plaintiff’s performance of the terms required by Loan Agreement, Rise Ocean’s failure to comply with the Loan Agreement’s repayment terms under, and Plaintiff’s resulting damages. (Otero Decl. ¶¶ 4, 6-9, Exhs. 1-2.) Plaintiff also proffers evidence of the existence of a guaranty in connection with Loan Agreement by Zhu, Plaintiff’s demand to Zhu after Rise Ocean’s default, and Zhu’s failure to pay. (Id. at ¶¶ 5, 7.)

The court finds that Plaintiff meets its burden on summary judgment.

In response, Zhu first argues there exists a triable issue of material fact related to Zhu’s fifteenth affirmative defense that there was no agreement by the parties to conduct the transaction by electronic means.

As an initial matter, in moving for summary judgment, a plaintiff is not required to disprove affirmative defenses. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 853 [“summary judgment law in this state no longer requires a plaintiff moving for summary judgment to disprove any defense asserted by the defendant as well as prove each element of his own cause of action.”].) Nevertheless, Plaintiff provided evidence that Rise Ocean electronically executed and entered into a written business loan agreement with Plaintiff and that Zhu unconditionally agreed to guaranty in writing all of the obligations and duties of Rise Ocean under the Loan Agreement. (Otero Decl. ¶¶ 4-5.) The Loan Agreement states

“For purposes of the execution of this Agreement, electronic signatures and fax signatures shall be treated in all respects as original signatures. An electronic

signature may be used to execute this Agreement and any other related documents. For purposes of the execution of this Agreement and documents, Borrower's electronic signature may be obtained through an automated transaction, computer program or other electronic process to show the electronic signature is attributable to Borrower and Borrower's intent to sign such Agreements and documents. Borrower agrees that an electronic signature obtained through any such automated transaction, computer program or other electronic process has the same legal and morale effect as if Borrower signed such Agreements and documents in ink and will be deemed valid, authentic, enforceable and binding and that such electronically signed documents shall be deemed originals."

(Otero Decl. ¶ 4, Exh. 1.) The evidence proffered shows that by signing the Loan Agreement and the Guaranty, Defendants agreed to conduct the transaction electronically.

Zhu next argues that Plaintiff has not met its burden to establish Zhu signed the Guaranty because Sandra Otero did not declare that she witnessed or has personal knowledge of Zhu executing the Loan Agreement or Guaranty. Sandra Otero provided the declaration in support of this motion. Otero is Plaintiff's Chief Credit Officer and has been employed there since 2001. (Otero Decl., ¶ 2.)

Under California law, "[a]n electronic record or electronic signature is attributable to a person if it was the act of the person." (Civ. Code, § 1633.9(a).) "The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." (Id.) Here, Otero attests that Plaintiff's current policies and procedures regarding loan documents are to generally keep them in electronic form only. (Otero Decl. ¶ 3.) The loan agreements are created, signed, and kept electronically using the AdobeSign software. (Id.) Plaintiff verifies the identity of the signatory on behalf of the business and/or the guarantor using several methods. (Id.) These methods include requesting

and reviewing a current driver's license, U.S. passport or some other form of government issued ID for all potential signors of the loan agreement and guarantor, verifying the date of birth, home residential address, and social security numbers provided by the potential signors, and conducting phone calls to confirm identifying information and/or requesting "selfie" pictures from the potential signors to match up with the government issued ID provided. (Id.) When Plaintiff has verified the identities of the loan applicant and guarantor, the loan agreement is electronically sent via AdobeSign to the email address provided by the loan applicant and guarantor. (Id.) The AdobeSign software tracks when and from what e-mail address each party has been sent, viewed, and executed the loan agreement and provides a final audit report as the final page of the loan agreement with such information. (Id.) The fully executed loan agreement is stored on the AdobeSign server. (Id.) Otero reviewed the loan agreement at issue here and can confirm Plaintiff followed its policies and procedures in confirming the identity of the signatory. (Id.) Printed, photographic copies of the loan agreements and the associated pay histories are made and preserved as part of Plaintiff's business records in the regular course of business, and by one bound by an employment obligation to so provide. (Id.)

Otero declares on or about 11/18/24, Rise Ocean electronically executed and entered into a written business loan agreement with Plaintiff via AdobeSign. (Otero Decl. ¶ 4.) Also on 11/18/24, Otero electronically executed the Loan Agreement on behalf of Plaintiff via AdobeSign, and Zhu agreed to guarantee in writing all the obligations and duties of Rise Ocean under the Loan Agreement. (Id., Exh. 1.)

Otero further declares that the loan documents and records are prepared by Plaintiff's personnel in the ordinary course of its business of financing loan transactions. (Evid. Code, § 1271.) The records are made at or near the time of the acts, conditions, or events indicated in the records. (Otero Decl., ¶¶ 2-3.) Working for Plaintiff since 2001, Otero has become personally familiar with the manner in which Plaintiff's records are prepared and

		maintained. She relies on the records daily and has found them trustworthy. (Otero Decl., ¶12.) Plaintiff proffered sufficient evidence to meet its initial burden to prove each element in its cause of action for breach of guaranty. In response to Plaintiff's evidence, Zhu offers no contrary evidence sufficient to create a material dispute. Accordingly, Zhu did not meet her shifted burden to show a triable issue of material fact. Plaintiff's motion for summary judgment is therefore GRANTED as to Defendant Xiaodong Zhu. Plaintiff to give notice.